Procter & Gamble Health Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

Sells vitamin, mineral and supplement brands (Neurobion, Livogen, Evion, Seven Seas, Polybion, Nasivion) in India through pharmacies, doctors' recommendations and online stores, plus some exports to markets like Nepal and Sri Lanka. It is the Indian listed arm of Procter & Gamble.

- Market cap about Rs 9,604 cr: what the whole company is worth on the market.
- FY26 (12 months to Mar 2026) sales Rs 1,408 cr, net profit Rs 327 cr: management says sales grew 16% and profit 30% against the comparable 12 months.
- Operating margin about 33% in FY26, up from about 26-27% in FY23-FY24: it now keeps roughly a third of sales as operating profit.
- Sep 2026 quarter: sales Rs 382 cr, up 18% on a year ago; operating margin 40%; net profit Rs 112 cr against Rs 89 cr a year ago. A strong quarter.
- Practically no debt; promoter (P&G) holds 51.82%, unchanged for three years.

2. Concall coverage

P&G Health holds only one investor call a year (after its annual results). Two transcripts were available on Screener: June 2025 and June 2026. The latest quarter's read comes from the Screener quarterly numbers.

Call	Date	Transcript read?
FY25 annual call (9-month year to Mar 2025)	16 Jun 2025	Yes, in full
FY26 annual call (year to Mar 2026)	Jun 2026	Yes, in full
Sep 2026 quarter	No call held	Quarterly numbers from Screener

Two calls across about a year. The consistency read is limited because so few calls exist, and the calls are prepared answers to emailed questions, not live Q&A.

Latest update highlights: Sep 2026 quarter (numbers) and the June 2026 call

- Sep 2026 quarter sales rose 18% on a year ago and operating margin hit 40%, matching the best of the last thirteen quarters shown.
- In the June 2026 call management said three launches (Livogen Iron Gummies, Neurobion Nerve Pain Relief Cream, Evion L5000) exceeded expectations and together added early single-digit points of growth in FY26.
- Neurobion and Livogen grew around 20% in FY26; Seven Seas early double digits; Nasivion and Evion high single digits.
- Gross margin improved on productivity, a better product mix and price rises within what the drug price regulator (NPPA) permits. Productivity savings were about Rs 35 cr in FY26 (about Rs 40 cr the year before).
- No numeric guidance given. Management refuses forward-looking numbers but says it is confident of continuing the growth momentum.

Business mix & capacity

- Domestic vs export: exports were about Rs 50 cr in the 9-month FY25 (a small slice of sales); in FY26 exports grew again, with Nepal up 3x and Sri Lanka high single digits. Exact FY26 split not given.
- Capacity utilization: not disclosed. Volume growth was mid-single digits in FY26, the rest came from price and mix.

3. Earning trigger thesis

The earnings story is a mature brand house squeezing more out of the same brands: new formats and extensions (iron gummies, a nerve-pain cream, a fatty-liver Evion), a wider pharmacy reach after the go-to-market change to super distributors, and steady cost savings that lift margin. It is already showing in the numbers: FY26 profit grew much faster than sales, and the Sep 2026 quarter kept that going.

Trigger	What management said	Evidence so far	Time horizon	Strength
New launches and brand extensions	Livogen Iron Gummies, Neurobion cream and Evion L5000 exceeded expectations; added early single-digit points of growth (Jun 2026)	FY26 sales up 16%; gummies ranked #1 in iron gummies on Amazon	Now, building over years	Moderate: real but small so far
Wider distribution	New super-distributor model; nearly 30,000 pharmacies and doctors added in extra-urban areas (Jun 2026)	Sales growth picked up from high single digits to mid-teens	Ongoing	Moderate
Productivity and margin	Rs 40 cr savings (FY25), Rs 35 cr (FY26); gross margin up on mix, productivity and pricing	Operating margin up from about 27% (FY24) to 33% (FY26) and 40% in Sep 2026 quarter	Ongoing	Strong

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not mentioned; the company has no debt
New business	Yes	Three new products launched in FY26: Livogen Iron Gummies, Neurobion Nerve Pain Relief Cream, Evion L5000 (Jun 2026)
Margin up	Yes	Gross margin improvement for FY26 driven by productivity, favourable product mix and pricing within what NPPA permits (Jun 2026)
New management	No	Not discussed on the calls
New capacity	No	Not discussed
Big orders	No	Not applicable
Turnaround	No	Not applicable
Promoter buying	No	Promoter stake unchanged

Single concrete driver: New product formats on its old brands, sold through a wider pharmacy network, with cost savings pushing margins up.

3c. Margin bridge

Operating margin was about 33% in FY26 against about 27% in FY24, and 40% in the Sep 2026 quarter against 37% a year ago. Management credits productivity savings, a better product mix and price increases within regulator limits, and says productivity is built into how it operates. It did not promise the margin level would hold and says it will keep reinvesting in advertising (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2025 call	Keep growing in high single digits with margin expansion, via superiority strategy and new GTM model	FY26 sales grew 16% and profit 30%, ahead of the high-single-digit record	Delivered
Jun 2025 call	Expand coverage in rural areas and use e-commerce	Nearly 30,000 pharmacies and doctors added in extra-urban areas; online called a material, fast-growing channel	Delivered
Jun 2025 call	Keep launching and upgrading products	Three new launches in FY26 that added early single-digit growth	Delivered
Jun 2026 call	Continue growth momentum (no number)	Sep 2026 quarter sales up 18%, margin 40%	Too early, good start

The story has not changed between the two calls: same integrated growth strategy, same brands, same productivity talk. Management gives no numeric guidance at all, so there is little to hold them to, but what they described has shown up in results.

5. Bottom line

Durable earning trigger? → YES

There is a concrete, live driver: new formats on established brands plus a wider pharmacy network, and the results already show it (FY26 sales up 16%, profit up 30%; Sep 2026 quarter sales up 18%). The catch is that launches only add a small slice of growth, so most of it still rides on price and mix within regulator limits.

Management consistent? → YES

Across the two calls the story was steady and the results matched it. The record is short and there is no numeric guidance, so this is a consistent but thin track record.

6. Checkpoints for next quarter

- December quarter sales are higher than a year ago
- Operating margin stays above last year's December quarter level
- The June 2027 call reports more launches adding to growth

Sources

- Screener.in: PGHL financials and concall transcripts (Jun 2025, Jun 2026)

This is not investment advice. Do your own due diligence.